Earnings update

Alphabet Q3 2026: good for AI growth, tough on margins

29 October 2026 · Syz Research

> **"The significant increase in our investment in technical infrastructure will continue to weigh on the P&L in the form of higher depreciation expenses and related data center operations costs, such as energy."**
>
> Anat Ashkenazi, CFO, Alphabet Q3 2026 earnings call, 28 October 2026

Alphabet owns Google Search, YouTube, Android and Google Cloud. Google Services, mostly advertising, brings in 75% of revenue and Google Cloud 24%. Revenue now runs above USD 500bn a year; the shares trade on Nasdaq.

Key takeaways

Miss EPS of USD 2.12 missed consensus by 30%, mostly on a USD 0.55 loss on the SpaceX stake.

Margin Operating margin fell to 31.8% from 34.0% as depreciation rose; operating profit missed by about 6%.

Growth Revenue grew 25% and Google Cloud doubled to USD 30.7bn, with USD 561bn of contracts booked.

Reaction Shares are down over 10% pre-market on 29 October, to about 17.7x forward earnings, below average.

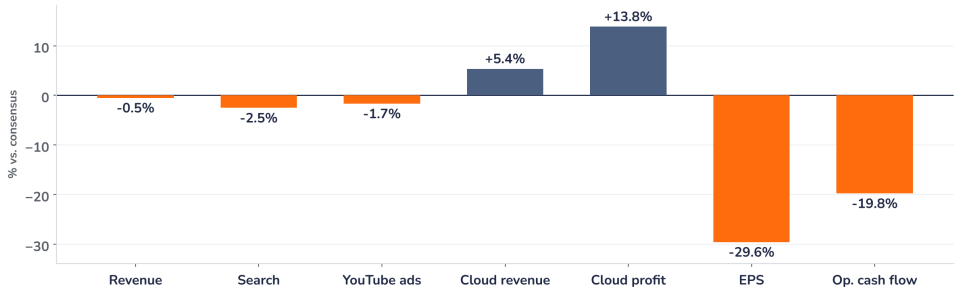
EPS	Operating margin	Google Cloud revenue	Free cash flow
USD 2.12	**31.8%**	**USD 30.7bn**	**USD −9.1bn**
−29.6% vs. consensus	34.0% in Q2 2026	+5.4% vs. consensus	Consensus USD −2.7bn

Margins explain the fall better than EPS

EPS missed consensus by 30% and the shares are down over 10% pre-market on 29 October, below USD 300. The EPS miss says little about Search, YouTube or Cloud: most of it is a loss on the SpaceX stake. The margin matters more. It fell to 31.8% from 34.0% in Q2 as depreciation on the AI build-out rose, and operating profit missed by about 6%.

Chart 1 · GOOGL: Q3 2026 results vs. consensus

Reported vs. consensus before the release, % · Cloud profit = Google Cloud operating income · EPS includes a USD 0.55 loss on equity securities



Google Cloud beat consensus by 5% on revenue and by 14% on operating income. Advertising fell short: total ads of USD 82bn came in 1.8% below estimates, with Search 2.5% and YouTube 1.7% below. Excluding the equity loss, EPS of USD 2.67 sits 11% under consensus, and operating cash flow was 20% short.

Base case and implications

The investment case remains intact: good for AI growth, tough on near-term earnings. We underwrite revenue growth of around 20% into 2027, led by Cloud, whose USD 561bn backlog is just over 55% due within 24 months. Consensus EPS should come down as depreciation rises and capex grows again in 2027. Near USD 292, the stock trades 10% below its long-run multiple and the risk/reward has improved. The next test is the Q4 report in early February.

What would strengthen our view

Ads in AI Mode closing the monetisation gap as they roll out abroad; Search growth holding in Q4 despite FX; Cloud margin above 30% through the third-party capacity ramp; buybacks resuming.

What would change our view

Free cash flow negative again in Q4 without a fine payment; Search slowing further as AI Mode takes queries; 2027 capex rising faster than the USD 561bn Cloud backlog turns into revenue.

Beyond the key takeaways

Results: Search slowed on FX and AI Mode

Revenue rose 25% to USD 127.6bn and operating income 30% to USD 40.6bn. Google Cloud revenue grew 103% to USD 30.7bn and its operating income more than tripled to USD 11.1bn, a 36.2% margin. Search grew 12% to USD 63.3bn, down from 17% in Q2. Management named FX the single largest driver of that slowdown, followed by APAC retailers hit by the end of the EU de minimis exemption and World Cup budgets spent in June. It added that AI Mode, growing fast, monetises less. The FX comment covers the slowdown versus Q2 and leaves the miss versus consensus open. Management did not cite competition from OpenAI; we treat that as a separate risk.

The miss and the pre-market fall of more than 10% on 29 October point the same way, and the size of the move tracks the margin. Confirmed drivers: higher depreciation and a USD 7.7bn Alphabet-level operating loss, mainly from shared AI research. The 36.2% Cloud margin excludes those shared costs, so we judge the offset on group profit and cash. Free cash flow of –USD 9.1bn reflected capex, TPU inventory and a USD 5.2bn payment for a 2018 EC fine; without the fine it would be about –USD 3.9bn, our calculation. No shares were bought back. We think investors now question the payback on capex.

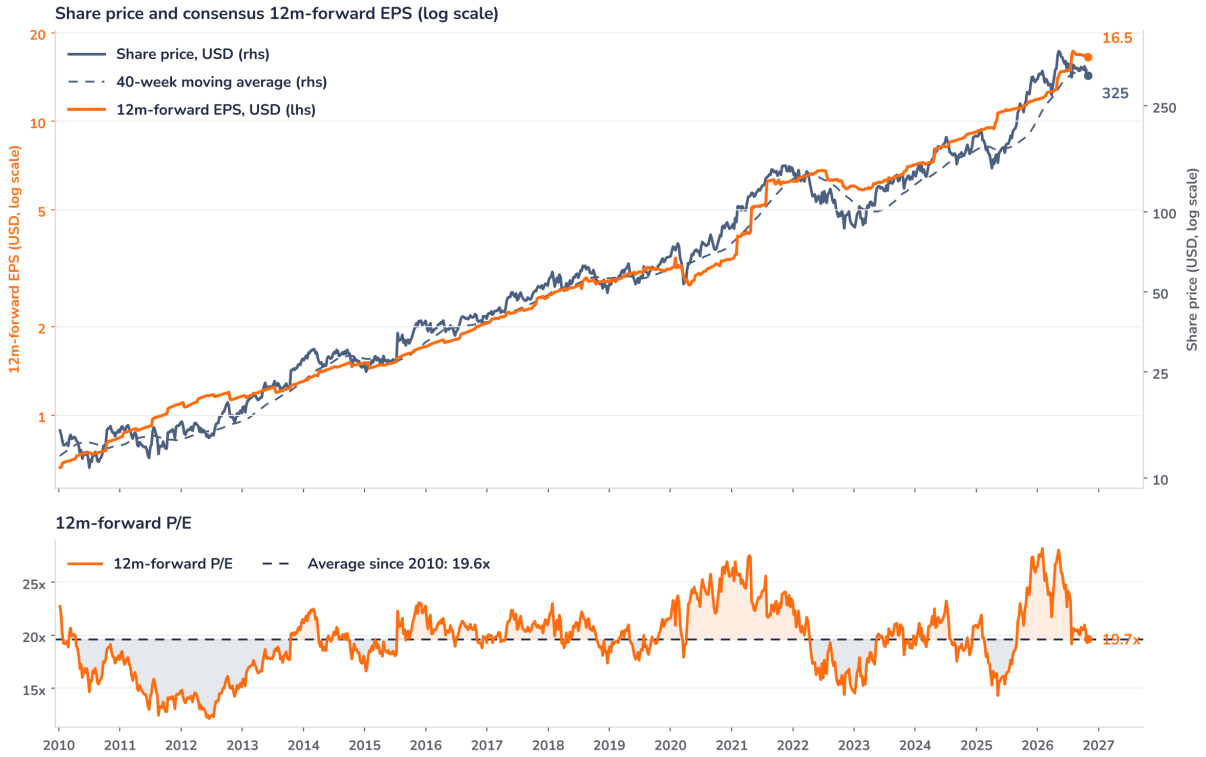
Outlook: capex unchanged, costs rise in Q4

Management kept the 2026 capex range of USD 195bn to 205bn, which implies USD 63bn to 73bn in Q4 after USD 51.4bn in Q3, and expects capex to rise significantly in 2027. Third-party compute came online at the very end of Q3 and ramps in Q4, and the CFO expects near-term margin headwinds from it. FX should weigh more in Q4, mainly on Search and YouTube. To lift Search monetisation, Google is scaling ads in AI Mode and AI Overviews, taking them abroad for the first time and adding multi-turn ads in the US. TPU system revenue should ramp meaningfully in 2027.

Valuation: the premium is gone

Chart 2 · GOOGL: share price vs. consensus earnings and valuation

Weekly, 2010 to 28 Oct 2026 · Bloomberg 12m-forward consensus EPS · 40-week MA · Log scale · Last price is the 28 October close, before the release



At the 28 October close of USD 324.9, before the release, the stock traded on 19.7x 12-month forward EPS of USD 16.5, in line with its 19.6x average since 2010 and far below the 28.2x peak of January 2026. Over 12 months the price rose 25% and consensus EPS 46%, so earnings did the work and the multiple compressed. The price sat 5% below its 40-week average of USD 340.8. Near USD 292 pre-market, the multiple drops to 17.7x, 10% below average. A 5% cut to consensus EPS at that price would lift it to 18.6x, still under the average.

SYZ Source: Syz Research, Bloomberg, company filings, Alphabet Q3 2026 earnings call of 28 October 2026, press coverage and analyst research notes of 29 October 2026

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